INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

Serve Robotics

NASDAQ : SERV · Young-Company DCF (Damodaran)

$503M mkt cap · 77M sh · $197M cash, zero debt · ~$197M liquidity (~$47M cash + securities); ~1.2yr runway; burn ~$41M/qtr; ~2,000 robots deployed across 44 cities but only ~812 daily-active (<half utilized); FY26 guide $26M (~9x FY25); heavy dilution (24.8M → 77.4M shares in 2yr; $150M ATM)

2 July 2026 · the qualitative

$6.53

THE CENTRAL QUESTION

With a fleet of ~2,000 robots already built but fewer than half daily-active, is SERV a cheap option on utilization inflecting to profitable unit economics, or a dilutive grind where the modal case loses money?

Serve Robotics runs autonomous sidewalk delivery robots, spun out of Uber/Postmates and Nvidia-backed. It trades at $7.22 (~$540M cap), down ~23% YTD, on FY25 revenue of just $2.7M against a ~$41M/quarter operating burn — a pre-scale company with ~$197M of liquidity and roughly 1.2 years of runway. The build is done: ~2,000 robots sit across 44 cities, but only ~812 are daily-active, so the central question is utilization, not fleet size. Anchor demand from Uber Eats (up-to-2,000-robot deal) and DoorDash exists to fill it. The DCF weighted fair value is $9.33, +29% above spot — but the modal base sits ~63% below the price, so the answer rides the right tail and is paid for with relentless dilution.

PROBABILITY-WEIGHTED EXPECTED VALUE

$9.33 expected fair value today

+42.8% vs spot $6.53

FORWARD COMPOUNDED VALUE

+5y	+10y	+15y	+20y
$14.88	$23.74	$37.89	$60.50
2.28× spot	3.63× spot	5.80× spot	9.27× spot

WEIGHTING RATIONALE

Ultra Bear 15% Utilization never improves; unit economics fail; dilutive grind toward the distress floor.

Bear 30% Modest scaling but stays sub-scale; heavy dilution offsets the operating progress.

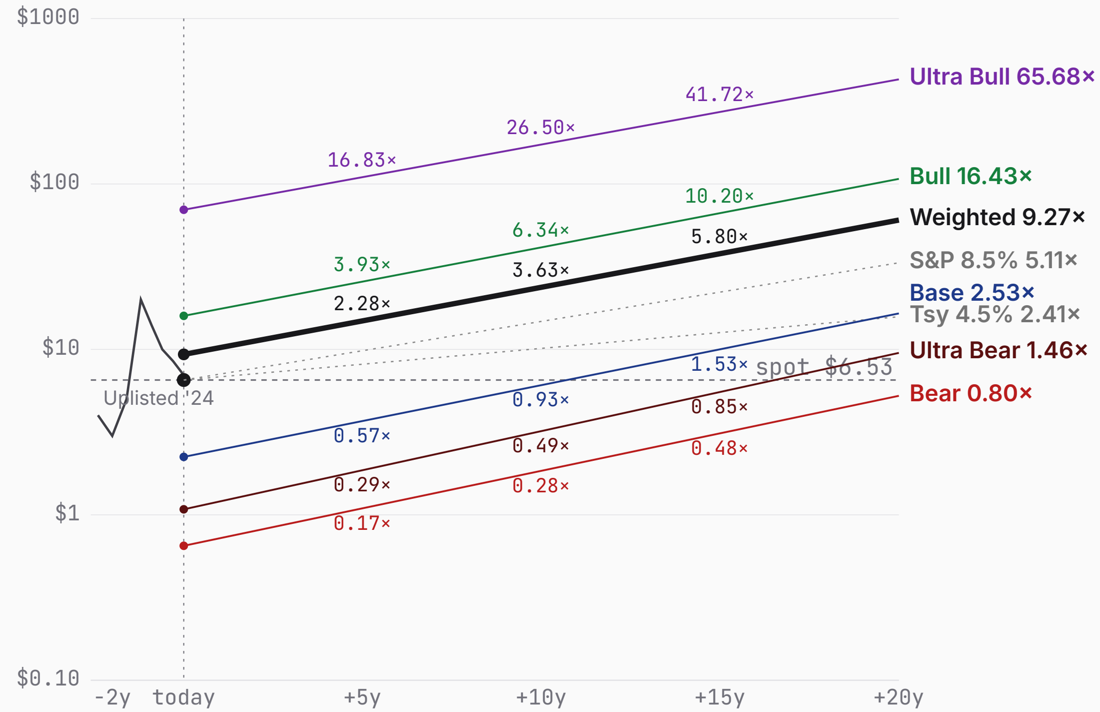
Base 30% Fleet utilization inflects and unit economics work; ~$0.70B revenue, but dilution caps per-share value below spot.

Bull 17% Delivery automation scales regionally; operating leverage on the already-built fleet.

Ultra Bull 8% Becomes a DoorDash-scale autonomous delivery network at ~7M deliveries/day.

Bull (17%) + Ultra Bull (8%) together contribute $8.30 — 89% of the $9.33 expected value despite 25% combined probability. Today's spot ($6.53) sits 30% below the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	BEAR	BASE	BULL	ULTRA BULL
$1.08	$0.65	$2.24	$15.95	$69.83
-83.5% vs spot	-90.0% vs spot	-65.7% vs spot	+144.3% vs spot	+969.4% vs spot
TAM 0.4% P(fail) 85% S2C 2.0 Prob 15%	TAM 0.8% P(fail) 55% S2C 2.2 Prob 30%	TAM 1.4% P(fail) 35% S2C 2.3 Prob 30%	TAM 3.0% P(fail) 15% S2C 2.5 Prob 17%	TAM 5.6% P(fail) 8% S2C 2.7 Prob 8%
Utilization stalls; dilutive grind	Modest scaling; dilution offsets	Utilization inflects; still dilutive	Delivery automation scales regionally	DoorDash-scale delivery network

AR 2EB | ALAMEDA RESEARCH 2: ELECTRIC BOOGALOO · LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

Serve Robotics scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 15% Bear 30% Base 30% Bull 17% Ultra Bull 8% · Weighted expected $9.33 (+42.8% vs spot)

ULTRA BEAR $1.08

-83.5% vs spot

Probability 15%

Utilization stalls; dilutive grind

WHY 15%

A 15% read. An 85% p_fail reflects that thin-margin delivery economics at sub-half fleet utilization rarely turn profitable before the cash and a live $150M ATM plus $100M registered-direct are exhausted.

WHAT HAPPENS

Daily-active robots stay stuck below half the deployed fleet, unit economics never clear the sub-$1/delivery bar, and Uber Eats and DoorDash volume fails to fill the built capacity. Revenue reaches only about $0.18B by FY35 at a 6% operating margin — sub-scale logistics economics that never earn their cost of capital.

With nothing to fund the burn, the auto-sized raises push the share count from ~77M toward ~227M, nearly tripling the float. The DCF lands at −$1.32; the $1.50 distress floor and residual liquidity drag the expected value to $1.08. The fleet exists, but the equity is diluted toward salvage.

BEAR $0.65

-90.0% vs spot

Probability 30%

Modest scaling; dilution offsets

WHY 30%

A 30% read. A 55% p_fail captures partial commercial traction — Uber Eats and DoorDash contracts are signed and FY26 revenue is guided to ~$26M (~9x FY25) — against the risk that scaling stalls short of durable profitability.

WHAT HAPPENS

Utilization improves somewhat and a few markets reach reasonable density, but the network never becomes a self-sustaining engine. Revenue reaches about $0.42B by FY35 at a 12% operating margin — better than today, yet far short of the scale and cost-per-delivery needed to justify a platform valuation.

Continued burn forces heavy raises, lifting shares toward ~154M and offsetting most of the operating progress. The DCF is −$0.39 and the expected value $0.65, both below spot. Real volume growth, but the per-share economics never outrun the dilution.

BASE $2.24

-65.7% vs spot

Probability 30%

Utilization inflects; still dilutive

WHY 30%

A 35% p_fail assumes the operating model works within the decade — supported by the demonstrated +578% revenue growth and the shift to utilization metrics — but still a coin-flip-plus that profitable unit economics arrive before dilution does the damage.

WHAT HAPPENS

Fleet utilization inflects — daily-active robots climb toward the deployed total, Uber Eats and DoorDash demand fills the built capacity, and cost-per-delivery falls toward the sub-$1 target so unit economics work. Revenue reaches about $0.70B by FY35 at a 15% operating margin as the network earns operating leverage on hardware that is already in the ground.

Growth still outpaces internal funding, so the company raises through the decade and shares drift toward ~129M. The DCF is $2.64 and the expected value $2.24 — both well under spot. The modal outcome validates the operating model yet leaves the equity worth roughly a third of today's price, because the dilution caps the per-share value.

BULL $15.95

+144.3% vs spot

Probability 17%

Delivery automation scales regionally

WHY 17%

A 15% p_fail. Requires utilized-fleet unit economics to turn durably profitable and the deployment to broaden regionally — anchored to the FY26 utilization and cost-per-delivery targets, which would be the first hard evidence the model scales.

WHAT HAPPENS

Autonomous delivery scales across whole regions — utilization runs high on a much larger fleet, the Magna manufacturing and Nvidia compute stack drives hardware cost down, and the Uber Eats and DoorDash channels compound volume. Revenue reaches about $1.50B by FY35 at a 20% operating margin as operating leverage on the built network finally shows.

Internal cash funds more of the growth, so dilution eases and shares settle near ~108M. The DCF is $18.50 and the expected value $15.95 — roughly two and a half times spot. This is the first scenario where the value of the network clearly exceeds the price paid plus the dilution to get there.

ULTRA BULL $69.83

+969.4% vs spot

Probability 8%

DoorDash-scale delivery network

WHY 8%

An 8% read. The lowest-probability, highest-payoff outcome: an 8% p_fail and a winner-take-most network result, assuming the first-mover fleet plus Uber/DoorDash demand harden into a scale-economies Power that later entrants cannot match.

WHAT HAPPENS

Serve becomes a DoorDash-scale autonomous delivery network — on the order of ~7M deliveries per day — the default last-mile robotics layer for the food and goods platforms. Revenue reaches about $2.80B by FY35 at a 24% operating margin as network density and a first-mover fleet originate genuine scale economies.

Self-funding largely replaces dilution and shares settle near ~94M. The DCF is $75.77 and the expected value $69.83 — roughly ten times spot. This tail is where the bulk of the weighted value lives, and it depends on the fleet cornering last-mile delivery before rivals or the platforms' own autonomy close in.

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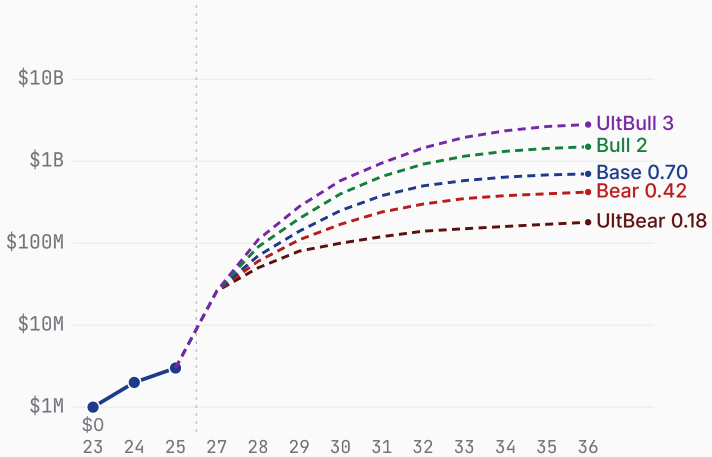
Serve Robotics business snapshot

2 July 2026 · the snapshot

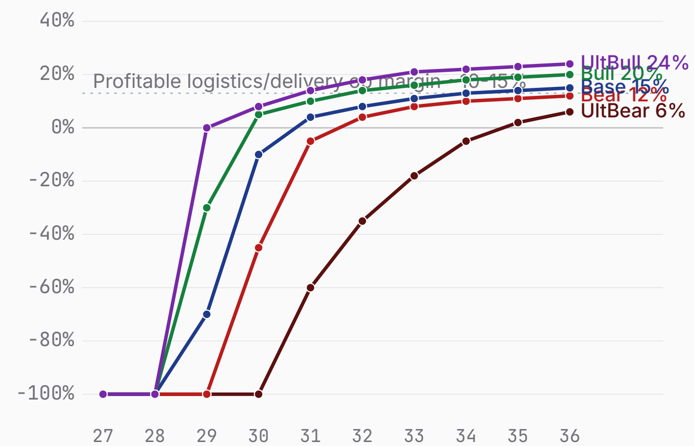
Bear $0.65 Base $2.24 Bull $15.95

FY23-FY25 history + FY26-FY35 scenario projections · fiscal years end Dec 31 · Q1'26 (May 2026) release

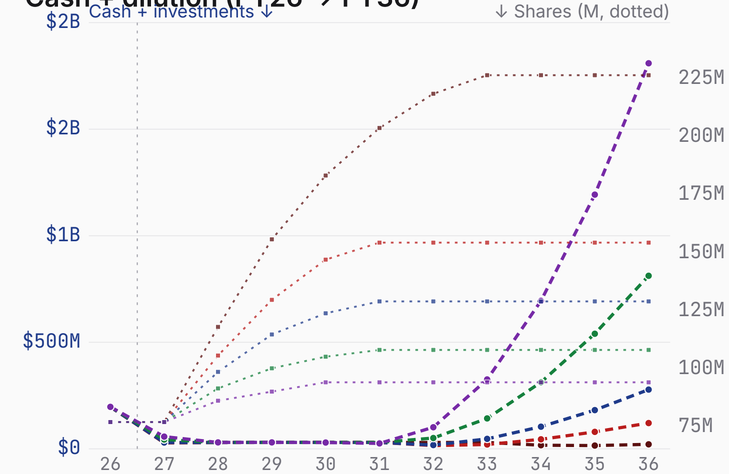
Revenue — history + scenarios to FY36 (log)



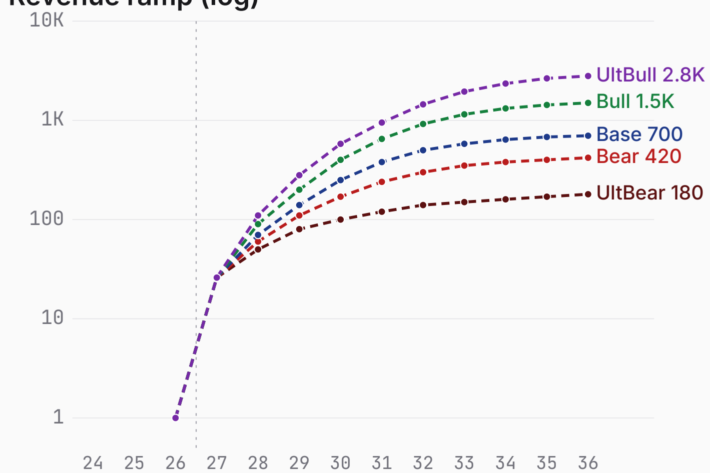
Path to profitability — op margin (FY27→FY36)



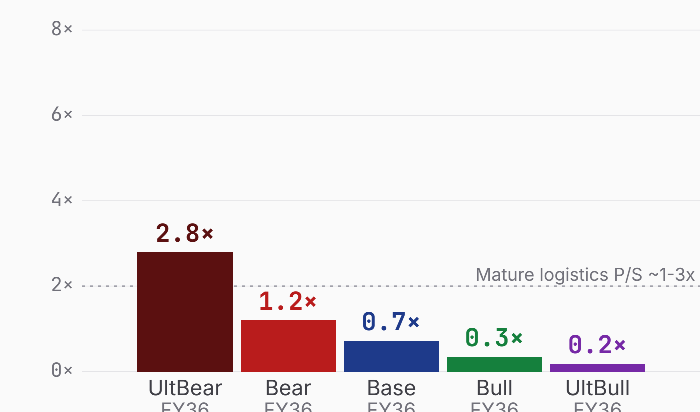
Cash + dilution (FY26 → FY36)



Revenue ramp (log)

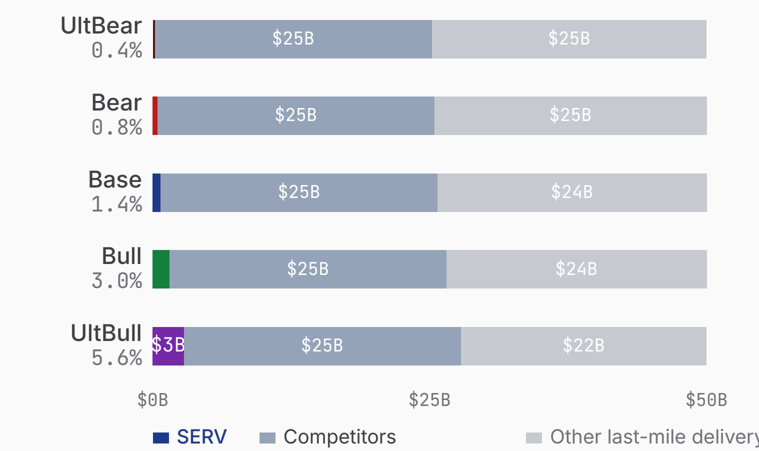


$0.50B mkt cap as P/S on FY36 rev



At ~200x sales on a pre-scale fleet, the price is utilization optionality, not fundamentals.

$50B last-mile delivery automation — SERV share



Sources: SERV FY2025 10-K + Q1'26 results (CIK 1832483), FY26 revenue guidance, fleet/utilization disclosures. Revenue is pre-scale (delivery fees + software); FCF is NOL-shielded pre-tax over the explicit window; raises auto-sized to fund the burn (the model's dilution path). TAM: the serviceable last-mile / sidewalk delivery automation market, ~$50B.

Serve Robotics 7 Powers · the moat, scored

Bear $0.65 Base $2.24 Bull $15.95

Arena. Autonomous last-mile delivery — sidewalk robots and small autonomous vehicles fulfilling food and goods orders — where SERV competes with platform in-house autonomy, venture-backed robot fleets, and logistics incumbents.

POWER ORIGINATION
origination window: open

POWER ORIGINATION · 7 POWERS

Scale Economies
A first-mover fleet could earn route density and hardware-cost scale, but unit economics at scale are unproven.

Network Economies
Density helps reliability and cost, but value does not yet compound two-sidedly across users the way a marketplace does.

Counter-Positioning
A robotics-native model the platforms are slower to build, but Uber and DoorDash are funding their own autonomy in parallel.

Switching Costs
Multi-year platform deals create some stickiness, but Uber and DoorDash multi-source delivery and can shift volume.

Branding
No consumer brand power; the order rides on Uber Eats or DoorDash, not the Serve name.

Cornered Resource · thesis leans here
The Magna exclusive-manufacturing and Nvidia compute stack plus the contracted Uber/DoorDash demand are the strongest candidate, but each is contractual, not owned.

Process Power
An integrated build-and-operate workflow is distinctive but not yet shown to deliver profitably at scale.

THE RACE · NAMED RIVALS

DoorDash (in-house / Wolt) — DoorDash balance sheet
~0% terminal share · A core customer building its own autonomy and robots — partner and potential substitute

Coco Robotics — Private (VC-backed)
~0% terminal share · Venture-backed sidewalk delivery robots in overlapping US cities

Nuro — Private (heavily funded)
~0% terminal share · Well-funded autonomous delivery vehicles; deep capital and AV stack

Avride / Amazon logistics — Corporate balance sheets
~0% terminal share · Platform and retail-scale autonomy efforts with vast balance sheets

LEAD / LAG · FALSIFIERS

Robots deployed in commercial service	~2,000 across 44 cities	vs	Smaller commercial fleets (Coco/Nuro)	LEADING
Profitable utilized-fleet unit economics	Unproven; targeting sub-$1/delivery	vs	Also unproven across the field	EVEN
Capital and balance-sheet depth	~$197M liquidity, dilution-funded	vs	Deeper (DoorDash, Amazon, Nuro)	LAGGING

COMPETITIVE READ

SERV is trying to originate a scale-economies plus cornered-resource Power — a first-mover commercial fleet, contracted Uber and DoorDash demand, and an exclusive Magna/Nvidia build stack — but no durable Power exists yet, because under half the fleet is utilized and unit economics at scale are unproven. The demand and the stack are contractual, not owned, and the platforms are funding their own autonomy, so the moat is contestable. The falsifier the bull must clear is utilized-fleet unit economics turning durably profitable — sub-$1/delivery on a high-utilization fleet — before dilution exhausts holders. Until that prints, the fleet is a built option, not a won Power, and the window stays open.

Serve Robotics show your work

Bear $0.65 Base $2.24 Bull $15.95 · Weighted $9.33 (+42.8%)

ULTRA BEAR $1.08

ASSUMPTIONS

TAM Year-10 ($B)	50
Mature share (%)	0.4
Mature op margin (%)	6
Sales-to-capital	2.0
Terminal WACC (%)	11.5
Terminal growth (%)	3.0
P(failure) (%)	85
Scenario probability (%)	15

10-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY27	0.03	-600%	-0.17	-0.15
FY28	0.05	-300%	-0.16	-0.12
FY29	0.08	-170%	-0.15	-0.10
FY30	0.10	-100%	-0.11	-0.07
FY31	0.12	-60%	-0.08	-0.04
FY32	0.14	-35%	-0.06	-0.03
FY33	0.15	-18%	-0.03	-0.01
FY34	0.16	-5%	-0.01	-0.01
FY35	0.17	+2%	-0.00	-0.00
FY36	0.18	+6%	+0.01	+0.00

Σ PV explicit FCF	-0.52
+ PV terminal (g 3.0%)	0.02

EQUITY BUILD · $B & PER SHARE

Operating EV	$-0.50B
+ Cash & investments	$0.20B
= Equity value	$-0.30B
Raised over period	$0.60B
Dilution by FY36	+194%
FY36 shares (M)	226.5
DCF per share	$-1.32
× (1−P_fail) [15%]	$-0.20
+ P_fail × distress [85% × $1.50]	$1.27
= Expected per share	**$1.08**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$1.86	$3.21	$5.53	$9.53
0.29×	0.49×	0.85×	1.46×

BEAR $0.65

ASSUMPTIONS

TAM Year-10 ($B)	50
Mature share (%)	0.8
Mature op margin (%)	12
Sales-to-capital	2.2
Terminal WACC (%)	11.0
Terminal growth (%)	3.5
P(failure) (%)	55
Scenario probability (%)	30

10-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY27	0.03	-600%	-0.17	-0.15
FY28	0.06	-260%	-0.17	-0.13
FY29	0.11	-110%	-0.14	-0.10
FY30	0.17	-45%	-0.10	-0.06
FY31	0.24	-5%	-0.04	-0.02
FY32	0.30	+4%	-0.01	-0.01
FY33	0.35	+8%	+0.01	+0.00
FY34	0.38	+10%	+0.02	+0.01
FY35	0.40	+11%	+0.04	+0.01
FY36	0.42	+12%	+0.04	+0.01

Σ PV explicit FCF	-0.43
+ PV terminal (g 3.5%)	0.17

EQUITY BUILD · $B & PER SHARE

Operating EV	$-0.26B
+ Cash & investments	$0.20B
= Equity value	$-0.06B
Raised over period	$0.46B
Dilution by FY36	+100%
FY36 shares (M)	154.3
DCF per share	$-0.39
× (1−P_fail) [45%]	$-0.18
+ P_fail × distress [55% × $1.50]	$0.83
= Expected per share	**$0.65**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$1.10	$1.85	$3.11	$5.24
0.17×	0.28×	0.48×	0.80×

BASE $2.24

ASSUMPTIONS

TAM Year-10 ($B)	50
Mature share (%)	1.4
Mature op margin (%)	15
Sales-to-capital	2.3
Terminal WACC (%)	10.5
Terminal growth (%)	4.0
P(failure) (%)	35
Scenario probability (%)	30

10-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY27	0.03	-600%	-0.17	-0.15
FY28	0.07	-220%	-0.17	-0.14
FY29	0.14	-70%	-0.13	-0.09
FY30	0.25	-10%	-0.07	-0.04
FY31	0.38	+4%	-0.04	-0.02
FY32	0.50	+8%	-0.01	-0.01
FY33	0.58	+11%	+0.03	+0.01
FY34	0.64	+13%	+0.06	+0.02
FY35	0.68	+14%	+0.08	+0.03
FY36	0.70	+15%	+0.10	+0.03

Σ PV explicit FCF	-0.35
+ PV terminal (g 4.0%)	0.49

EQUITY BUILD · $B & PER SHARE

Operating EV	$0.14B
+ Cash & investments	$0.20B
= Equity value	$0.34B
Raised over period	$0.42B
Dilution by FY36	+68%
FY36 shares (M)	129
DCF per share	$2.64
× (1−P_fail) [65%]	$1.72
+ P_fail × distress [35% × $1.50]	$0.52
= Expected per share	**$2.24**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$3.69	$6.08	$10.02	$16.50
0.57×	0.93×	1.53×	2.53×

BULL $15.95

ASSUMPTIONS

TAM Year-10 ($B)	50
Mature share (%)	3.0
Mature op margin (%)	20
Sales-to-capital	2.5
Terminal WACC (%)	10.0
Terminal growth (%)	5.0
P(failure) (%)	15
Scenario probability (%)	17

10-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY27	0.03	-550%	-0.15	-0.14
FY28	0.09	-180%	-0.19	-0.15
FY29	0.20	-30%	-0.10	-0.07
FY30	0.40	+5%	-0.06	-0.04
FY31	0.65	+10%	-0.04	-0.02
FY32	0.92	+14%	+0.02	+0.01
FY33	1.15	+16%	+0.09	+0.04
FY34	1.32	+18%	+0.17	+0.07
FY35	1.43	+19%	+0.23	+0.08
FY36	1.50	+20%	+0.27	+0.09

Σ PV explicit FCF	-0.12
+ PV terminal (g 5.0%)	1.92

EQUITY BUILD · $B & PER SHARE

Operating EV	$1.80B
+ Cash & investments	$0.20B
= Equity value	$2.00B
Raised over period	$0.37B
Dilution by FY36	+40%
FY36 shares (M)	108.1
DCF per share	$18.50
× (1−P_fail) [85%]	$15.72
+ P_fail × distress [15% × $1.50]	$0.22
= Expected per share	**$15.95**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$25.69	$41.37	$66.63	$107.30
3.93×	6.34×	10.20×	16.43×

ULTRA BULL $69.83

ASSUMPTIONS

TAM Year-10 ($B)	50
Mature share (%)	5.6
Mature op margin (%)	24
Sales-to-capital	2.7
Terminal WACC (%)	9.5
Terminal growth (%)	6.0
P(failure) (%)	8
Scenario probability (%)	8

10-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY27	0.03	-500%	-0.14	-0.12
FY28	0.11	-130%	-0.17	-0.14
FY29	0.28	+0%	-0.06	-0.04
FY30	0.58	+8%	-0.07	-0.04
FY31	0.95	+14%	-0.00	-0.00
FY32	1.45	+18%	+0.08	+0.04
FY33	1.95	+21%	+0.22	+0.10
FY34	2.35	+22%	+0.37	+0.16
FY35	2.65	+23%	+0.50	+0.19
FY36	2.80	+24%	+0.62	+0.22

Σ PV explicit FCF	+0.36
+ PV terminal (g 6.0%)	6.57

EQUITY BUILD · $B & PER SHARE

Operating EV	$6.93B
+ Cash & investments	$0.20B
= Equity value	$7.13B
Raised over period	$0.27B
Dilution by FY36	+22%
FY36 shares (M)	94.1
DCF per share	$75.77
× (1−P_fail) [92%]	$69.71
+ P_fail × distress [8% × $1.50]	$0.12
= Expected per share	**$69.83**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$109.93	$173.05	$272.43	$428.87
16.83×	26.50×	41.72×	65.68×

Serve Robotics People · Opportunity · Context · Deal

Bear $0.65 Base $2.24 Bull $15.95

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Ali Kashani · founder-led — 5 yrs in seat

4.3% insider ownership

HIGH key-person risk

Capital allocation (realized)
Pre-profit sidewalk-delivery robotics - dilution is the story. The share count has grown ~15x in three years (~5M pre-SPAC to ~77M by May 2026; ~+36% in the trailing year) via a SPAC, warrants, a $150M ATM (terminated after ~$91M sold), and repeated follow-ons. Cash ~$106M (Dec 2025) / ~$47M (Mar 2026); ~$260M cash + securities at year-end 2025; operating burn ~$80M in FY2025 and ~$41M in Q1 2026 alone. Acquired Diligent Robotics (~$25.7M, 2026). No buyback or dividend.

Incentive alignment
Founder-CEO comp is overwhelmingly equity (FY2024 total ~$8.7M on a ~$237K base). Insider Form 4 activity is routine sell-to-cover on RSU vesting - no open-market buying and no large discretionary selling surfaced; the proxy states no insider pledging, margin accounts, or hedging.

GOVERNANCE FLAGS

- single class of common stock, one vote per share (no dual-class / super-voting) - a structural positive
- but a COMBINED Chair/CEO (Kashani) and a classified/staggered board (3 classes) concentrate leadership
- majority-independent board: only the two insiders (Kashani CEO, Parang President/COO) are non-independent
- related-party / commercial concentration: Uber (largest customer via an Uber Eats 2,000-robot deal, and a former >5% holder via Postmates, now ~3.4%), Magna (exclusive contract manufacturer), Nvidia (former supplier + ~10% holder, fully exited end-2024)
- going-concern doubt was flagged in the FY2023 10-K; cash is larger now (~12-month runway stated) but the FY2025 audit-opinion status was not independently confirmed

THE FOUR LEGS

People — observable composite · 1–5 — ●●●○○

Opportunity
The scenario distribution · the Page-3 business snapshot

Context
The 7 Powers analysis (Power Origination)

Deal
Open-market purchase = the deal: entry price vs. the scenario distribution (the +29.2% finding) + position sizing.

PEOPLE READ
A clean single-class one-vote register and a heavily equity-aligned founder-CEO are the positives. Held to a 3 by a combined Chair/CEO, a classified board, high key-person dependence on Kashani, the relentless dilution of a pre-scale cash-burner, customer/manufacturing concentration (Uber, Magna), and a going-concern history - the profile of an early, vision-driven company still proving its model.

Serve Robotics supporting analysis · disclaimers · glossary

Bear $0.65 Base $2.24 Bull $15.95

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **The fleet is already built**
~2,000 robots across 44 cities are deployed; the spend is largely sunk, so utilization rising to profitability is operating leverage, not new capex.

2 **Anchor demand is contracted**
Uber Eats (up-to-2,000-robot multi-year deal) plus DoorDash give committed volume to fill the fleet — the demand side is signed, not speculative.

3 **Hyper-growth off a tiny base**
Revenue grew +578% YoY in Q1'26 and FY26 is guided to ~$26M (~9x FY25); management now reports utilization, not fleet size.

4 **De-rated price, fat right tail**
Down ~23% YTD, the equity is a cheap option — roughly 89% of the expected value sits in the bull and ultra-bull, priced lightly versus spot.

5 **A vertically-integrated stack**
Magna manufacturing, Nvidia compute, and the Diligent Robotics acquisition build a hardware-and-autonomy stack rivals must assemble from scratch.

FALSIFICATION TRIGGERS

Bull validation
Daily-active robots climb toward the ~2,000 deployed; cost-per-delivery falls through $1; Uber Eats scales toward the 2,000-robot commitment; raises shrink as revenue funds the burn.

Bear validation
Utilization stays stuck below half the fleet; the FY26 ~$26M guide slips; an equity raise on weak terms confirms dilutive stagnation; unit economics stay above $1/delivery.

Reframe needed
Utilized-fleet unit economics turn durably profitable and self-funding, shifting the story from option-on-fleet to cash-flow; or the cash and ATM exhaust before that, breaking the thesis.

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Daily-active vs deployed fleet — Robots actually running paid deliveries each day (~812) versus the total fielded (~2,000). The gap — under half utilized — is the central operational fact.

Unit economics / cost-per-delivery — The profit on a single delivery after labor, energy, hardware depreciation and operations. SERV targets sub-$1/delivery; clearing it is what makes the model work.

Operating leverage — Because the ~2,000-robot fleet is already built, additional deliveries on the same hardware drop largely to profit — so the model's value is highly sensitive to utilization.

Sales-to-capital (s2c) — How much new revenue each dollar of reinvested capital produces; it sets how fast revenue can grow before the company must raise fresh capital.

ATM dilution — An at-the-market equity program (here a live $150M ATM plus a $100M registered-direct) that funds the burn by selling new shares — the source of the modeled share-count growth.

p_fail — The modeled probability the scenario ends in failure (utilization and unit economics never clear), driving the equity toward the $1.50 distress floor.